

Summary

Methodology

This project investigates how market sentiment influences trader performance and behavior using Hyperliquid trading data and the Fear & Greed Index. After cleaning and merging the datasets by date, I created metrics such as Average PnL, Win Rate, Trading Volume, Trade Frequency, and Buy/Sell Ratio. To further understand trading patterns, traders were segmented into Frequent vs Infrequent Traders and Consistent Winners vs Inconsistent Traders.

Key Insights

The results showed that trader performance varied across different sentiment conditions. Extreme Greed periods recorded the highest average PnL and win rates, suggesting that traders generally performed better during strongly optimistic market conditions.

Fear periods showed the highest trading activity and the strongest buying bias, as indicated by the Buy/Sell Ratio. This suggests that many traders increased their participation during uncertain market conditions rather than avoiding the market altogether.

The segmentation analysis revealed that frequent traders achieved higher win rates, while infrequent traders generated higher average profits per trade. Similarly, consistent winners maintained higher success rates, but not necessarily higher profitability, highlighting that profit size can be just as important as win frequency.

Strategy Recommendations

Based on these findings, traders may consider being more active during Greed and Extreme Greed periods, where historical performance was strongest. Additionally, the results suggest that focusing on trade quality and position sizing may be more effective than simply increasing trading frequency, as higher activity did not always lead to higher profits.